Amendment of section 10.

5. In section 10 of the Income-tax Act,—

(*a*) in clause (*4D*), in the *Explanation*, in clause (*c*), in sub-clause (*i*), in item (*I*), after the words and figures "Securities and Exchange Board of India Act, 1992 (15 of 1992), or", the words, brackets and figures "regulated under the International Financial Services Centres Authority (Fund Management) Regulations, 2022, made under the" shall be inserted;

(*b*) for clause (*4E*), the following shall be substituted with effect from the 1st day of April, 2024,—

"(*4E*) any income accrued or arisen to, or received by a non-resident as a result of—

(*i*) transfer of non-deliverable forward contracts or offshore derivative instruments or over-the-counter derivatives; or

(*ii*) distribution of income on offshore derivative instruments,

entered into with an offshore banking unit of an International Financial Services Centre referred to in sub-section (1A) of section 80LA, which fulfils such conditions as may be prescribed.";

(*c*) for clause (*4G*), the following clauses shall be substituted with effect from the 1st day of April, 2024, namely:—

'(*4G*) any income received by a non-resident from,—

(*i*) portfolio of securities or financial products or funds, managed or administered by any portfolio manager on behalf of such non-resident; or

(*ii*) such activity carried out by such person, as may be notified by the Central Government in the Official Gazette,

in an account maintained with an Offshore Banking Unit in any International Financial Services Centre, as referred to in sub-section (1A) of section 80LA, to the extent such income accrues or arises outside India and is not deemed to accrue or arise in India.

Explanation.—For the purposes of this clause, "portfolio manager" shall have the same meaning as assigned to it in clause (*z*) of sub-regulation (1) of regulation 2 of the International Financial Services Centres Authority (Capital Market Intermediaries) Regulations, 2021, made under the International Financial Services Centres Authority Act, 2019 (50 of 2019);

(*4H*) any income of a non-resident or a Unit of an International Financial Services Centre as referred to in sub-section (1A) of section 80LA engaged primarily in the business of leasing of an aircraft, by way of capital gains arising from the transfer of equity shares of domestic company, being a Unit of an International Financial Services Centre as referred to in sub-section (1A) of section 80LA, engaged primarily in the business of leasing of an aircraft which has commenced operations on or before the 31st day of March, 2026:

Provided that the provisions of this clause shall apply for capital gains arising from the transfer of equity shares of such domestic company in a previous year relevant to an assessment year falling within the—

(*a*) period of ten assessment years beginning with the assessment year relevant to the previous year in which the domestic company has commenced operations; or

(*b*) period of ten assessment years beginning with the assessment year commencing on the 1st day of April, 2024, where the period referred to in clause (*a*) ends before the 1st day of April, 2034.

Explanation.—For the purposes of this clause, "aircraft" means an aircraft or a helicopter, or an engine of an aircraft or a helicopter, or any part thereof;'

(*d*) in clause (*10D*),—

(*i*) in the second proviso, the words, brackets, figures and letter "or the *Explanation* to sub-section (2A) of section 88, as the case may be" shall be omitted;

(*ii*) for the sixth proviso, the following provisos shall be substituted with effect from the 1st day of April, 2024, namely:—

"**Provided also** that nothing contained in this clause shall apply with respect to any life insurance policy other than a unit linked insurance policy, issued on or after the 1st day of April, 2023, if the amount of premium payable for any of the previous years during the term of such policy exceeds five lakh rupees:

Provided also that if the premium is payable by a person for more than one life insurance policy other than unit linked insurance policy, issued on or after the 1st day of April, 2023, the provisions of this clause shall apply only with respect to those life insurance policies other than unit linked insurance policies, where the aggregate amount of premium does not exceed the amount referred to in the sixth proviso in any of the previous years during the term of any of those policies:

Provided also that the provisions of the fourth, fifth, sixth and seventh provisos shall not apply to any sum received on the death of a person:";

(*e*) after clause (*12B*), the following shall be inserted, namely:—

'(*12C*) any payment from the *Agniveer* Corpus Fund to a person enrolled under the *Agnipath* Scheme, or to his nominee.

Explanation.—For the purposes of this clause "*Agniveer* Corpus Fund" and "*Agnipath* Scheme" shall have the meanings respectively assigned to them in section 80CCH;';

(*f*) in clause (*22B*), after the third proviso, the following proviso shall be inserted with effect from the 1st day of April, 2024, namely:—

"**Provided also** that nothing contained in this clause shall apply to any income of the news agency of the previous year relevant to the assessment year beginning on or after the 1st day of April, 2024;";

(*g*) clause (*23BBF*) shall be omitted;

(*h*) in clause (*23C*),—

(*I*) with effect from the 1st day of October, 2023,—

(*i*) in the first proviso, for clause (*iv*), the following clause shall be substituted, namely:—

"(*iv*) in any other case, where activities of the fund or trust or institution or university or other educational institution or hospital or other medical institution have—

(*A*) not commenced, at least one month prior to the commencement of the previous year relevant to the assessment year from which the said approval is sought;

(*B*) commenced and no income or part thereof of the said fund or trust or institution or university or other educational institution or hospital or other medical institution has been excluded from the total income on account of applicability of sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) or section 11 or section 12 for any previous year ending on or before the date of such application, at any time after the commencement of such activities,";

(*ii*) in the second proviso,—

(*a*) in clause (*ii*),—

(*A*) in the opening portion, after the word, brackets and figures "clause (*iii*)", the words, brackets, letter and figures "or sub-clause (*B*) of clause (*iv*)" shall be inserted;

(*B*) in sub-clause (*b*), for item (*B*), the following item shall be substituted, namely:—

"(*B*) if he is not so satisfied, pass an order in writing,—

(*I*) in a case referred to in clause (*ii*) or clause (*iii*) of the first proviso, rejecting such application and also cancelling its approval;

(*II*) in a case referred to in sub-clause (*B*) of clause (*iv*) of the first proviso, rejecting such application,

after affording it a reasonable opportunity of being heard;";

(*b*) for clause (*iii*), the following clause shall be substituted, namely:—

"(*iii*) where the application is made under sub-clause (*A*) of clause (*iv*) of the said proviso or the application made under clause (*iv*) of the said proviso, as it stood immediately before its amendment by the Finance Act, 2023, pass an order in writing granting approval to it provisionally for a period of three years from the assessment year from which the approval is sought, and send a copy of such order to the fund or trust or institution or university or other educational institution or hospital or other medical institution:";

(*II*) in the third proviso,—

(*i*) in *Explanation 2*,—

(*a*) in clause (*i*),—

(*A*) in the proviso, the word "and" shall be omitted;

(*B*) after the proviso, the following provisos shall be inserted, namely:—

"**Provided further** that the provisions of the first proviso shall apply only if there was no violation of the conditions specified in the twelfth, thirteenth and twenty-first provisos, and those specified in *Explanation 2* and *Explanation 3*, of this clause, at the time the application was made from the corpus:

Provided also that the amount invested or deposited back shall not be treated as application for charitable or religious purposes under the first proviso unless such investment or deposit is made within a period of five years from the end of the previous year in which such application was made from the corpus:

Provided also that nothing contained in the first proviso shall apply where the application from the corpus is made on or before the 31st day of March, 2021;";

(*b*) in clause (*ii*), after the proviso, the following provisos shall be inserted, namely:—

"**Provided further** that the provisions of the first proviso shall apply only if there was no violation of the conditions specified in the twelfth, thirteenth and twenty-first provisos, and those specified in *Explanation 2* and *Explanation 3*, of this clause at the time the application was made from loan or borrowing:

Provided also that the amount repaid shall not be treated as application for charitable or religious purposes under the first proviso unless such repayment is made within a period of five years from the end of the previous year in which such application was made from loan or borrowing:

Provided also that nothing contained in the first proviso shall apply where the application from any loan or borrowing is made on or before the 31st day of March, 2021; and";

(*c*) after clause (*ii*), the following clause shall be inserted with effect from the 1st day of April, 2024, namely:—

"(*iii*) any amount credited or paid out of the income of any fund or trust or institution or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*), other than the amount referred to in the twelfth proviso, to any other fund or trust or institution or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*), or trust or institution registered under section 12AB, as the case may be, shall be treated as application for charitable or religious purposes only to the extent of eighty-five per cent of such amount credited or paid.";

(*ii*) in *Explanation 3*, in clause (*c*), for the words "furnished on or before", the words "furnished at least two months prior to" shall be substituted;

(*III*) in the fifteenth proviso, in *Explanation 2*,—

(*A*) in clause (*d*), for the words "attained finality.", the words "attained finality; or" shall be substituted;

(*B*) after clause (*d*), the following clause shall be inserted, namely:—

"(*e*) the application referred to in the first proviso of this clause is not complete or it contains false or incorrect information.";

(*IV*) in the nineteenth proviso, in the *Explanation*, with effect from the 1st day of April, 2024,—

(*a*) after the words, brackets and figures "notified under clause (*46*)", the word, brackets, figures and letter "or (*46A*)" shall be inserted;

(*b*) for the words, brackets and figures "under clause (*46*)", the words, brackets, figures and letter "under clause (*46*) or clause (*46A*)" shall be substituted;

(*V*) in the twentieth proviso, for the words "within the time allowed under that section", the words, brackets and figures "within the time allowed under sub-section (1) or sub-section (4) of that section" shall be substituted;

(*i*) clause (*23EB*) shall be omitted;

(*j*) in clause (*23FE*), in the opening paragraph, for the word "interest", the words, brackets and figures "interest, any sum referred to in clause (*xii*) of sub-section (2) of section 56" shall be substituted with effect from the 1st day of April, 2024;

(*k*) clause (*26A*) shall be omitted;

(*l*) for clause (*26AAA*), the following clause shall be substituted and shall be deemed to have been substituted with effect from the 1st day of April, 1990, namely:—

'(*26AAA*) in case of an individual, being a Sikkimese, any income which accrues or arises to him—

(*a*) from any source in the State of Sikkim; or

(*b*) by way of dividend or interest on securities.

Explanation.—For the purposes of this clause "Sikkimese" shall mean—

(*i*) an individual, whose name is recorded in the register maintained under the Sikkim Subjects Regulation, 1961 read with the Sikkim Subject Rules, 1961 (hereinafter referred to as the "Register of Sikkim Subjects"), immediately before the 26th day of April, 1975; or

(*ii*) an individual, whose name is included in the Register of Sikkim Subjects by virtue of the Government of India Order No. 26030/36/90-I.C.I., dated the 7th August, 1990 and Order of even number dated the 8th April, 1991; or

(*iii*) any other individual, whose name does not appear in the Register of Sikkim Subjects, but it is established beyond doubt that the name of such individual's father or husband or paternal grand-father or brother from the same father has been recorded in that register; or

(*iv*) any other individual, whose name does not appear in the Register of Sikkim Subjects but it is established that such individual was domiciled in Sikkim on or before the 26th day of April, 1975; or

(*v*) any other individual, who was not domiciled in Sikkim on or before the 26th day of April, 1975, but it is established beyond doubt that such individual's father or husband or paternal grand-father or brother from the same father was domiciled in Sikkim on or before the 26th day of April, 1975;

(*m*) after clause (*34A*), the following clause shall be inserted with effect from the 1st day of April, 2024, namely:—

'(*34B*) any income of a unit of any International Financial Services Centre, primarily engaged in the business of leasing of an aircraft, by way of dividends from a company being a unit of any International Financial Services Centre primarily engaged in the business of leasing of an aircraft.

Explanation.—For the purposes of this clause,"International Financial Services Centre" shall have the same meaning as assigned to it in clause (*q*) of section 2 of the Special Economic Zones Act, 2005 (28 of 2005);'

(*n*) clause (*41*) shall be omitted;

(*o*) in clause (*46*), for the words ", or a class thereof" at both the places where they occur, the words, figures and letter "other than those covered under clause (*46A*), or a class thereof" shall be substituted with effect from the 1st day of April, 2024;

(*p*) after clause (*46*), the following clauses shall be inserted with effect from the 1st day of April, 2024, namely:—

"(*46A*) any income arising to a body or authority or Board or Trust or Commission, not being a company, which —

(*a*) has been established or constituted by or under a Central Act or State Act with one or more of the following purposes, namely:—

(*i*) dealing with and satisfying the need for housing accommodation;

(*ii*) planning, development or improvement of cities, towns and villages;

(*iii*) regulating, or regulating and developing, any activity for the benefit of the general public; or

(*iv*) regulating any matter, for the benefit of the general public, arising out of the object for which it has been created; and

(*b*) is notified by the Central Government in the Official Gazette for the purposes of this clause;

(*46B*) any income accruing or arising to,—

(*i*) National Credit Guarantee Trustee Company Limited, being a company established and wholly financed by the Central Government for the purposes of operating credit guarantee funds established and wholly financed by the Central Government; or

(*ii*) a credit guarantee fund established and wholly financed by the Central Government and managed by the National Credit Guarantee Trustee Company Limited; or

(*iii*) Credit Guarantee Fund Trust for Micro and Small Enterprises, being a trust created by the Government of India and the Small Industries Development Bank of India established under sub-section (1) of section 3 of the Small Industries Development Bank of India Act, 1989 (39 of 1989);";

(*q*) clause (*49*) shall be omitted.